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though not perfect, among many firms making very similar products. No firm can have any perceptible influence on the price-output policies of the other sellers nor can it be influenced much by their actions. Thus monopolistic competition refers to competition among a large number of sellers producing close but not perfect substitutes for each other.

5.8.1 Features of monopolistic competition

The important features of monopolistic competition are :

1. There are large number of buyers and many sellers.
2. Firms under monopolistic competition are price makers. They set their own prices.
3. Firms produce differentiated products. It is the key element of monopolistic competition.
4. There is a free entry and exit of firms.
5. Firms compete with each other by incurring selling cost or expenditure on sales promotion of their products.
6. Non – price competition is an essential part of monopolistic competition.
7. A firm can follow an independent price policy.

5.8.2 Price and Output Determination under Monopolistic Competition

The firm under monopolistic competition achieves its equilibrium when it's MC = MR, and when its MC curve cuts its MR curve from below. If MC is less than MR, the sellers will find it profitable to expand their output.

Under monopolistic competition

(1) The demand curve is downwards sloping.

(2) There are close substitutes.

(3) The demand curve (the average revenue curve) is fairly elastic.

Under monopolistic competition, different firms produce different varieties of the product and sell them at different prices. Each firm under monopolistic competition seeks to achieve equilibrium as regards

1. Price and output, 2. Product adjustment and 3. selling cost adjustment.

Short-run equilibrium:

How does a monopolistically competitive firm achieve price-output level

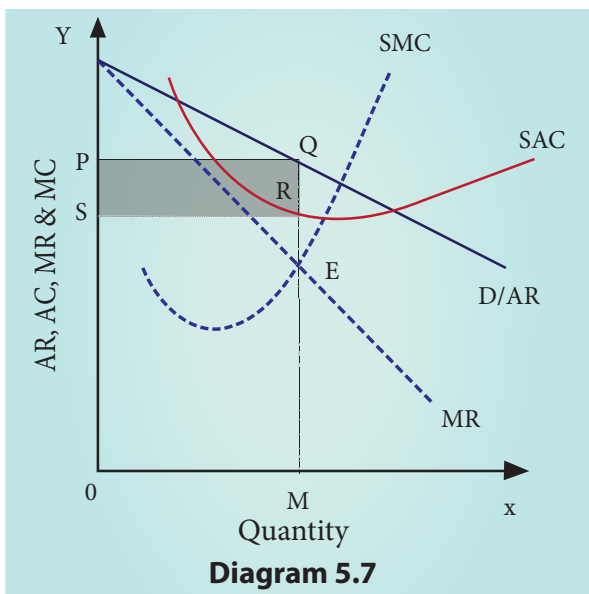


Diagram 5.7